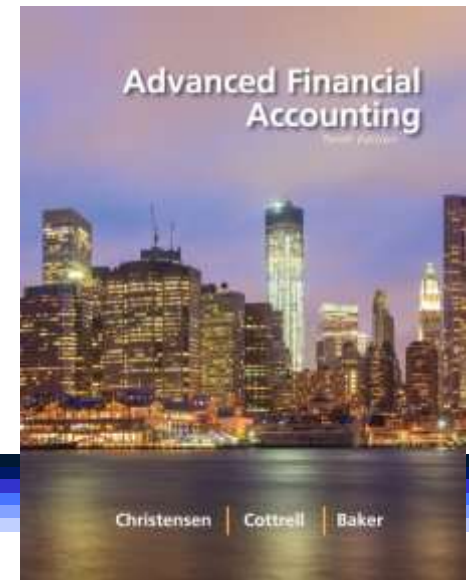


Chapter 10



Additional Consolidation Reporting Issues



General Overview

- ◆ **This chapter discusses the following general financial reporting topics as they relate to consolidated financial statements:**
 1. The consolidated statement of cash flows
 2. Consolidation following an interim acquisition
 3. Consolidation tax considerations
 4. Consolidated earnings per share



Learning Objective 10-1

Prepare a consolidated statement of cash flows.



Consolidated Statement of Cash Flows

- ◆ **A consolidated statement of cash flows is similar to a statement of cash flows prepared for a single-corporate entity and is prepared in basically the same manner.**
- ◆ **Preparation**
 - Typically prepared after the consolidated income statement, retained earnings statement, and balance sheet.
 - Prepared from the information in the other three statements.



Consolidated Statement of Cash Flows

◆ Preparation

- Requires only a few adjustments (such as those for depreciation and amortization resulting from the write-off of a differential) beyond those used in preparing a cash flow statement for an individual company.
- All transfers between affiliates should be eliminated.
- Noncontrolling interest typically does not cause any special problems.



Consolidated Statement of Cash Flows for the Year Ended December 31, 20X2 (Figure 10-2)

PEERLESS PRODUCTS CORPORATION AND SUBSIDIARY

Consolidated Statement of Cash Flows

For the Year Ended December 31, 20X2

Cash Flows from Operating Activities:

Consolidated Net Income \$ 229,000

Noncash Expenses, Revenues, Losses, and Gains Included in Income:

Depreciation Expense 76,000

Gain on Sale of Land (30,000)

Increase in Accounts Receivable (105,000)

Increase in Inventory (95,000)

Increase in Accounts Payable 30,000

Net Cash Provided by Operating Activities \$105,000

Cash Flows from Investing Activities:

Acquisition of Equipment \$(100,000)

Sale of Land 70,000

Net Cash Used in Investing Activities (30,000)

Cash Flows from Financing Activities:

Dividends Paid:

To Parent Company Shareholders \$ (60,000)

To Noncontrolling Shareholders (8,000)

Net Cash Used in Financing Activities (68,000)

Net Increase in Cash \$ 7,000

Cash at Beginning of Year 269,000

Cash at End of Year \$276,000



Consolidated Statement of Cash Flows

- ◆ **Consolidated cash flow statement—direct method**
 - Nearly all major companies use the indirect method.
 - Critics have argued that the direct method is less confusing and more useful.



Consolidated Statement of Cash Flows

- ◆ **The only section affected by the difference in approaches is the operating activities section.**
 - Under the indirect approach, the operating activities section starts with net income and, to derive cash provided by operating activities, adjusts for all items affecting cash and net income differently.
 - Under the direct approach, the operating activities section of the statement shows the actual cash flows.



Consolidated Statement of Cash Flows

- ***Direct approach:*** As an example, the only cash flows related to operations are

Cash Flows from Operating Activities:

Cash Received from Customers \$615,000

Cash Paid to Suppliers (510,000)

Net Cash Provided by Operating Activities \$105,000

- The remainder of the cash flow statement is the same under both approaches except that a separate reconciliation of operating cash flows and net income is required under the direct approach.



Practice Quiz Question #1

Which of the following statements is true?

- a. After the consolidated income statement and balance sheet have been prepared, the statement of cash flows is calculated in the same way as for a single company.
- b. The preparation of a consolidated statement of cash flows requires procedures that are unique to consolidated companies.
- c. A consolidated statement of cash flows is not required under U.S. GAAP.
- d. The consolidated statement of cash flows is calculated from the subsidiary's financial



Practice Quiz Question #1 *Solution*

Which of the following statements is true?

- a. After the consolidated income statement and balance sheet have been prepared, the statement of cash flows is calculated in the same way as for a single company.
- b. The preparation of a consolidated statement of cash flows requires procedures that are unique to consolidated companies.
- c. A consolidated statement of cash flows is not required under U.S. GAAP.
- d. The consolidated statement of cash flows is calculated from the subsidiary's financial



Learning Objective 10-2

Make calculations and record journal and worksheet entries related to an interim acquisition.



Consolidation Following an Interim Acquisition

- ◆ **When a subsidiary is acquired during a fiscal period, the results of the subsidiary's operations are included in the consolidated statements only for the portion of the year that the stock is owned by the parent.**



Consolidation Following an Interim Acquisition: Illustration

Peanut purchases 75% of Snoopy's outstanding common stock on July 1, 20X1 for an amount equal to 75% of the book value of Snoopy's net assets. Prior to the acquisition, Snoopy had earned net income of \$35,000 and declared \$8,000 of dividends. The income and dividends for the year are summarized in the following table:

	<u>1/1 to 6/30</u>	<u>7/1 to 12/31</u>
Sales	125,000	250,000
Less: COGS	50,000	110,000
Less: Depreciation Expense	25,000	50,000
Less: Other Expenses	<u>15,000</u>	<u>30,000</u>
Net Income	35,000	60,000
Dividends	8,000	20,000



Consolidation Following an Interim Acquisition: Illustration

Parent Company Entries

Peanut records the purchase of Snoopy stock with the following entry:

July 1, 20X1

Investment in Snoopy Stock	320,250
Cash	320,250

Record purchase of Snoopy stock.

During the second half of 20X1, Peanut records its share of Snoopy's income and dividends under the equity method:

Investment in Snoopy Stock	45,000
Income from Snoopy	45,000

Record equity-method income: $\$60,000 \times 0.75$.

Cash	15,000
Investment in Snoopy Stock	15,000

Record dividends from Snoopy: $\$20,000 \times 0.75$.



Consolidation Following an Interim Acquisition: Illustration

Pre-acquisition income and dividend elimination entry:

Sales	125,000	← Close pre-acquisition sales to RE
COGS	50,000	← Close pre-acquisition COGS to RE
Depreciation Expense		← Close pre-acquisition depr. exp. To RE
25,000		← Close pre-acquisition other expenses to RE
Other Expense	15,000	← Close pre-acquisition dividends to RE
Dividends Declared		← Pre-acquisition net increase in RE
8,000		

After making this worksheet entry to close the pre-acquisition earnings and dividends to the Retained Earnings account, the beginning balance in Retained Earnings as of the date of acquisition is \$117,000.

Retained Earnings

	150,000 Balance 1/1/20X1
	27,000
	177,000 Balance 6/30/20X1



Consolidation Following an Interim Acquisition: Illustration

Based on this acquisition date beginning balance, we calculate the post-acquisition changes in book value as follows:

Book Value Calculations:

NCI 25%	Peanut 75%	Common Stock	Retained Earnings	=	+
July 1, 20X1, balances		106,750	320,250	250,000	)
+ Net Income	)	15,000			
- Dividends	(5,000)	(15,000)			
December 31, 20X1, balances		16,750	350,000	217,000	)

This leads to the basic elimination entry, following the normal procedure (but based on post-acquisition earnings and dividends):

Basic Elimination Entry

Common Stock	250,000	←	Original amount invested (100%)
Retained Earnings	177,000	←	Beginning balance in RE
Income from Snoopy	45,000	←	Peanut's share of reported NI
NCI in NI of Snoopy	15,000	←	NCI's share of reported NI
Dividends Declared	20,000	←	100% of Sub's dividends declared
Investment in Snoopy	350,250	←	Net amount of BV left in inv. acct.
NCI in NA of Snoopy	116,750	←	NCI's share of net book value



Consolidation Following an Interim Acquisition: Illustration

The following T-accounts illustrate how the basic elimination entry zeros out the balances in the Investment in Snoopy and Income from Snoopy accounts:

Investment in Snoopy		Income from Snoopy	
Acquisition			
320,250			45,000 75% Net
75% Net Income	15,000	75% Dividends	Income
45,000			
	350,250	Basic	45,000 Balance
Balance 12/31/X1	45,000		12/31/X1
350,250			

Again, we include the normal accumulated depreciation elimination entry based on the balance in accumulated depreciation on Snoopy's books on the acquisition date. Assume that this amount is 65,000 on the acquisition date.

Optional accumulated depreciation elimination entry:

Accumulated Depreciation	65,000	
Building and Equipment		65,000



Learning Objective 10-3

Make basic calculations and journal entries related to income taxes in the consolidated financial statements.



Consolidation Income Tax Issues

- ◆ **A parent company and its subsidiaries may file a consolidated income tax return, or they may choose to file separate returns.**
 - For a subsidiary to be eligible to be included in a consolidated tax return, at least **80** percent of its stock must be held by the parent company or another company included in the consolidated return.



Consolidation Income Tax Issues

- ◆ **Filing a consolidated return: advantages**
 - The losses of one company may be offset against the profits of another.
 - Dividends and other transfers between the affiliated companies are not taxed.
 - May make it possible to avoid limits on the use of certain items such as foreign tax credits and charitable contributions.



Consolidation Income Tax Issues

- ◆ **Filing a consolidated return: limitations**
 - Once an election is made to include a subsidiary in the consolidated return, the company cannot file separate tax returns in the future unless it receives IRS approval.
 - The subsidiary's tax year also must be brought into conformity with the parent's tax year.
 - Can become quite difficult when numerous companies are involved and complex ownership arrangements exist.



Consolidation Income Tax Issues

- ◆ **Allocation of tax expense when a consolidated return is filed**
 - Portrays the companies included in the return as if they were actually a single legal entity.
 - All intercorporate transfers of goods and services and intercompany dividends are eliminated and a single income tax figure is assessed



Consolidation Income Tax Issues

- ◆ **Allocation of tax expense when a consolidated return is filed**
 - Because only a single income tax amount is determined, income tax expense must be assigned to the individual companies.
 - The method of tax allocation can affect the amounts reported in the income statements of both the separate companies and the consolidated entity.



Consolidation Income Tax Issues

◆ Allocation of tax expense when a consolidated return is filed

- When a subsidiary is less than 100 percent owned, tax expense assigned to the subsidiary reduces proportionately the income assigned to the parent and the noncontrolling interest.
- The more tax expense assigned to the subsidiary, the less is assigned to the parent; the income attributed to the controlling interest then becomes greater.



Consolidation Income Tax Issues

- ◆ **Unrealized profits when a consolidated return is filed**
 - Intercompany transfers are eliminated in computing both consolidated net income and taxable income.
 - Because profits are taxed in the same period they are recognized for financial reporting purposes, no temporary differences arise, and no additional tax accruals are needed in preparing the consolidated financial statements.



Consolidation Income Tax Issues

- ◆ **Unrealized profits when separate returns are filed**
 - The companies are taxed individually on the profits from intercompany sales.
 - No consideration is given to whether the intercompany profits are realized from a consolidated viewpoint.



Consolidation Income Tax Issues

- ◆ **Unrealized profits when separate returns are filed**
 - The tax expense on the unrealized intercompany profit must be eliminated when the unrealized intercompany profit is eliminated in preparing consolidated financial statements.
 - This difference in timing of the tax expense recognition results in the recording of deferred income taxes.



Consolidation Income Tax Issues

Assume that Peanut acquired 75% of Snoopy's common stock. Peanut acquired the stock when the book value of Snoopy's common stock was \$250,000 and retained earnings were \$150,000. During the year, Snoopy reports pre-tax income of \$60,000 and declares \$20,000 of dividends. In addition, during 20X1 Snoopy sold inventory costing \$75,000 to Peanut for \$100,000. \$60,000 of this inventory was resold by year end. Assume the two companies file separate a tax returns for 20X1. Both Peanut and Snoopy are subject to a 40% tax rate.



Consolidation Income Tax Issues

Snoopy sells inventory costing \$75,000 to Peanut Products for \$100,000, and resold \$60,000 of this inventory before year-end. Assume 40 percent tax rate.

	<u>Total</u>	=	<u>Re-sold</u>	+	<u>Ending Inventory</u>
Sales	100,000		60,000		40,000
COGS	<u>75,000</u>		<u>45,000</u>		<u>30,000</u>
Gross Profit	25,000		15,000		10,000
Gross Profit %	25%				

Sales	100,000	
Cost of Goods Sold		90,000
Inventory		10,000

Eliminate intercompany upstream sale of inventory.

With a 40 percent income tax rate, the following eliminating entry adjusts income tax expense of the consolidated entity downward by \$4,000 (\$10,000 x 0.40) to reflect the reduction of reported profits:

Deferred Tax Asset	4,000	
Income Tax Expense		4,000

Eliminate tax expense on unrealized intercompany profit.



Unrealized Profit in Separate Tax Return Illustrated

If Peanut accounts for its investment in Snoopy using the fully adjusted equity method, Peanut would make the following journal entries on its books:

Investment in Snoopy	27,000	
Income from Snoopy		27,000

Record Peanut's 75 percent share of Snoopy's 20X1 reported income.

Cash	15,000	
Investment in Snoopy		15,000

Record Peanut's 75 percent share of Snoopy's 20X1 dividend.

Peanut also defers its 75% share of the unrealized profit on intercompany upstream sales (net of taxes). Thus, the \$10,000 of unrealized profit (\$40,000 – \$30,000) net of 40% taxes is \$6,000 (\$10,000 x 0.60). Thus, the deferral of Peanut's relative share of the unrealized gross profit is \$4,500 (\$6,000 x 0.75).

Income from Snoopy	4,500	
Investment in Snoopy		4,500

Eliminate unrealized gross profit on inventory purchases from Snoopy.

In order to prepare the basic elimination entry, we first analyze the book value of Snoopy's equity accounts and the related 75% share belonging to Peanut and the 25% share belonging to the NCI shareholders:



Unrealized Profit in Separate Tax Return Illustrated

Book Value Calculations:

NCI 25%	Peanut 75%	Common Stock	Retained Earnings	=	+
Original book value	100,000	300,000	250,000	)	
+ Net Income	9,000	)			
- Dividends	(5,000)	(15,000)			
Ending book value	)	\$12,000	200,000		

We note that the book value calculations form the basis for the basic elimination entry, but Peanut's share of income and its investment account must be adjusted for the equity-method entry previously made for \$4,500. In addition, the NCI share of income and net assets is adjusted for the 25% share of the unrealized gross profit (net of 40 percent taxes).

Basic Elimination Entry

Common Stock 250,000
Retained Earnings 150,000
Income from Snoopy 22,500
NCI in NI of Snoopy 7,500
Dividends Declared
20,000
Investment in Snoopy

- ← Original amount invested (100%)
- ← Beginning balance in RE
- ← Peanut's % of NI – 75% of Def. GP (net of tax)
- ← NCI % of NI – 25% of Def. GP (net of tax)
- ← 100% of Sub's dividends declared
- ← Net BV – 75% of Def. GP (net of tax)
- ← NCI % of BV – 25% of Def. GP (net of tax)



Subsequent Profit Realization When Separate Returns Are Filed

If income taxes were ignored, the following eliminating entry would be used in preparing consolidated statements as of December 31, 20X2, assuming that Snoopy had \$10,000 of unrealized inventory profit on its books on January 1, 20X2, and the inventory was resold in 20X2:

Investment in Snoopy	7,500	
NCI in NA of Snoopy	2,500	
Cost of Goods Sold		10,000

Eliminate beginning inventory profit.

On the other hand, if the 40 percent tax rate is considered, the eliminating entry would be modified as follows:

Investment in Snoopy	4,500	
NCI in NA of Snoopy	1,500	
Income Tax Expense	4,000	
Cost of Goods Sold		10,000



Learning Objective 10-4

Make calculations related to consolidated earnings per share.



Consolidated Earnings Per Share

- ◆ **Basic consolidated EPS is calculated by deducting income to the noncontrolling interest and any preferred dividend requirement of the parent company from consolidated net income**
 - The resulting amount is then divided by the weighted-average number of the parent's common shares outstanding during the period.
 - While consolidated net income is viewed from an entity perspective, consolidated earnings per share follows a parent company approach and clearly is aimed at the stockholders of the parent company.



Consolidated Earnings Per Share

◆ Computation of diluted consolidated earnings per share

$$\begin{array}{c}
 \text{Diluted} \\
 \text{consolidated} \\
 \text{EPS}
 \end{array}
 = \frac{
 \begin{array}{c}
 \text{Parent's share of} \\
 \text{consolidated} \\
 \text{net income}
 \end{array}
 \pm
 \begin{array}{c}
 \text{Adjustment} \\
 \text{for parent} \\
 \text{securities}
 \end{array}
 -
 \left(
 \begin{array}{c}
 \text{Percent} \\
 \text{ownership} \\
 \text{held by} \\
 \text{parent}
 \end{array}
 \times
 \begin{array}{c}
 \text{Income} \\
 \text{available to} \\
 \text{common} \\
 \text{shareholders} \\
 \text{of} \\
 \text{subsidiary}
 \end{array}
 \right)
 +
 \left(
 \begin{array}{c}
 \text{Shares} \\
 \text{held} \\
 \text{by} \\
 \text{parent}
 \end{array}
 \times
 \begin{array}{c}
 \text{Subsidiary} \\
 \text{diluted} \\
 \text{EPS}
 \end{array}
 \right)
 }{
 \begin{array}{c}
 \text{Weighted average of} \\
 \text{parent company shares} \\
 \text{outstanding}
 \end{array}
 +
 \begin{array}{c}
 \text{Shares of parent to be} \\
 \text{issued if dilutive} \\
 \text{securities are converted} \\
 \text{and options exercised}
 \end{array}
 }$$



Consolidated Earnings Per Share

- ◆ **Diluted consolidated earnings per share**
 - The parent's share of consolidated net income normally is the starting point in the computation of diluted consolidated EPS.
 - It then is adjusted for the effects of parent and subsidiary dilutive securities.



Goal EPS

Power Corporation owns 75 percent of Transmitter Company's common stock. At the date of acquisition the fair value of the noncontrolling interest was equal to the book value of Transmitter Company's common stock. The following balance sheet data are presented for December 31, 20X8:

Accounts Receivable	70,000	85,000
Inventory	140,000	105,000
Land	100,000	80,000
Buildings and Equipment	1,000,000	700,000
Less: Accumulated Depreciation	(500,000)	(280,000)
Investment in Transmitter Company Stock	300,000	
Total Assets	<u>\$1,200,000</u>	<u>\$750,000</u>
Accounts Payable	\$150,000	\$50,000
Bonds Payable	300,000	200,000
Preferred Stock (\$100 par value)		100,000
Common Stock (\$10 par value)	500,000	200,000
Retained Earnings	250,000	200,000
Total Liabilities and Equities	<u>\$1,200,000</u>	<u>\$750,000</u>



Transmitter reported net income of \$90,000 in 20X8 and paid dividends of \$30,000. Its bonds have an annual interest rate of 10 percent and are convertible into 12,000 common shares. Its preferred shares pay a 12 percent annual dividend and convert into 5,000 shares of common stock. In addition, Transmitter has warrants outstanding for 12,000 shares of common stock at \$15 per share. The 20X8 average price of Transmitter common shares was \$25.

Power reported income of \$180,000 from its own operations for 20X8 and paid dividends of \$40,000. Its 9 percent bonds convert into 8,000 shares of its common stock. The companies file separate tax returns and are subject to income taxes of 40 percent.

Required:

Compute basic and diluted earnings per share for the consolidated entity for 20X8.



Basic earnings per share

Power Corporation operating income		\$180,000
Transmitter net income		\$90,000
Preferred dividends (\$100,000 x .12)		(12,000)
Earnings available to common shareholders		<u>\$78,000</u>
Transmitter shares outstanding	÷	<u>20,000</u>
Computed EPS for Transmitter		\$3.90
Shares held by Power Corporation	x	<u>15,000</u>
Contribution to Power Corporation earnings		<u>58,500</u>
Total earnings of Power Corporation		\$238,500
Power Corporation shares outstanding	÷	<u>50,000</u>
Basic earnings per share		<u><u>\$4.77</u></u>



Diluted earnings per share

Power Corporation operating income			\$180,000
Transmitter net income		\$90,000	
Assumed conversion of bonds			
$(\$200,000 \times .10) \times .60$		<u>12,000</u>	
Earnings available to common		\$102,000	
Transmitter shares outstanding	20,000		
Assumed conversion of bonds	12,000		
Assumed conversion of preferred	5,000		
Exercise of warrants:			
$12,000 - [(\$15 \times 12,000) / \$25]$	<u>4,800</u>		
Total shares		$\div$	<u>41,800</u>
Computed EPS for Transmitter			\$2.44
Shares held by Power Corporation		$\times$	<u>15,000</u>
Contribution to Power Corporation Earnings			<u>36,600</u>
Total earnings of Power Corporation			\$216,600
Interest savings on assumed conversion			
of bonds $(\$300,000 \times .09) \times .60$			<u>16,200</u>
			\$232,800
Power Corporation shares			<u>58,000</u>
Diluted earnings per share			<u><u>\$4.01</u></u>



Practice Quiz Question #2

Consolidated EPS is calculated:

- a. as the sum of the subsidiary's and the parent's individual EPS numbers.
- b. by adding the subsidiary's and the parent's net income numbers and dividing by the subsidiary's shares owned by the parent.
- c. by deducting the NCI in net income and preferred dividends from consolidated net income and dividing by the parent's weighted-average shares.
- d. as the parent's net income divided by the combined weighted shares outstanding of the parent and subsidiary.



Practice Quiz Question #2 *Solution*

Consolidated EPS is calculated:

- a. as the sum of the subsidiary's and the parent's individual EPS numbers.
- b. by adding the subsidiary's and the parent's net income numbers and dividing by the subsidiary's shares owned by the parent.
- c. by deducting the NCI in net income and preferred dividends from consolidated net income and dividing by the parent's weighted-average shares.
- d. as the parent's net income divided by the combined weighted shares outstanding of the parent and subsidiary.



The End